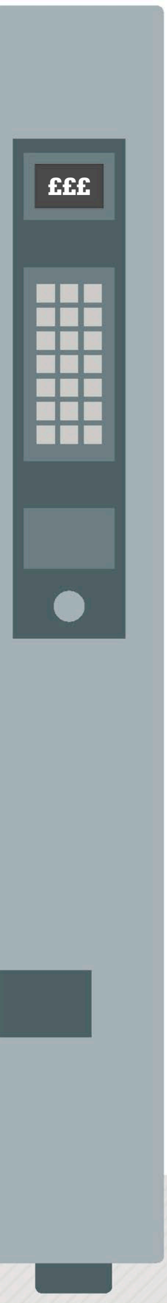
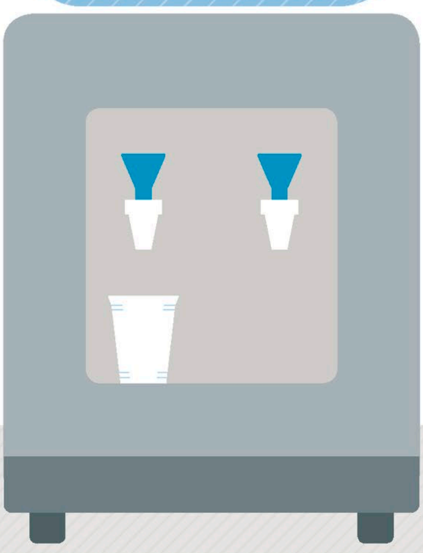


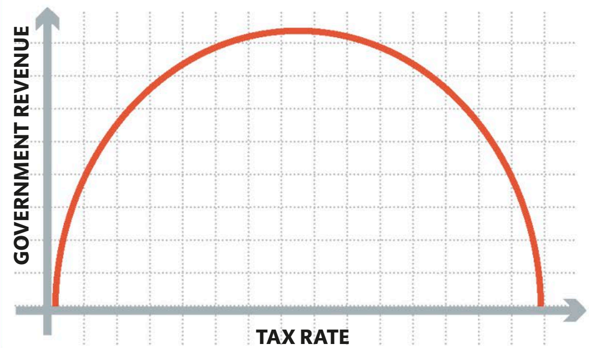
Unintended effects of tax

- Drinks taxed at the higher rate are actually taxed less per gram of sugar than those at the lower rate – so consumers may switch to more sugary drinks.
- Consumers may turn to untaxed sugary drinks such as milkshakes and smoothies.
- The tax increase may hit poorer consumers harder, making it a regressive tax.
- The profits of drinks companies may fall, affecting government tax revenue.
- If businesses are affected, this may lead to the loss of jobs.
- In Mexico, a 10 per cent tax on soft drinks has raised more than US$2 billion since 2014. While sales initially dropped they have started to rise again.



THE LAFFER CURVE

The Laffer curve, named after US economist Arthur Laffer, illustrates the concept that there is an optimum level of taxation to maximize revenues. This is because at very high rates of taxation, more people will be looking to avoid or reduce the tax than will pay it. So, although tax revenues initially increase with rising tax rates, they will eventually decline. Controversy surrounds the idea because it is very hard to know where this optimum point might lie and also because it would seem to legitimize non-payment of taxes by high net-worth individuals, and tax avoidance by ordinary people who start to participate in the “grey economy”.



24%

estimated percentage of economic activity in Greece that went undeclared and untaxed in 2013